

Productivity and efficiency:

Cost to income ratio: operating expenditure as percentage of operating income; cost to average asset ratio: operating expenditure as a percentage of average total assets; absolute increase in return on assets: basis points increase YoY in return on assets and YoY percentage increase in ratio of operating profit to total income.

Quality of earnings:

Return on assets: ratio of net profit to average total assets; return on capital employed: reported net profit divided by average net worth; NIM: total interest income minus total interest expenses as percentage of average interest

Tier I capital: total of equity capital and disclosed reserves; liquidity coverage ratio: ratio of HQLA to total net cash outflows.

Final scoring and rating

For each NBFC, a score was assigned for each of the 31 sub-parameters, based on rank. The score were multiplied by the parameter's weight. The results were aggregated to arrive at the final rankings.

QUALITATIVE AWARDS

Three qualitative awards recognised the initiatives and strategies undertaken by banks in innovation, fintech collaboration, talent and workforce.

tion and HR operating model; and innovation in talent acquisition

QUALITATIVE AWARDS

(Upper Layer NBFCs)

There were two awards:

Best Upper Layer NBFC Innovation award: Introduced to recognise promising initiatives across five areas: customer experience, product innovation, business model, service delivery, and digital adoption.

Best Upper Layer NBFC—Talent and Workforce

award: NBFCs were evaluated across four areas under talent management and digitalisation; initiatives around diversity, equity, and inclusion; HR analyt-

THE EXERCISE TOOK ABOUT SIX MONTHS, WITH KPMG REACHING OUT TO MORE THAN 50 BANKS, 100 NBFCs AND FINTECH FIRMS

earning assets; penalties imposed by regulators; amount involved in frauds as required to be disclosed by the Master Direction - Monitoring of Frauds in NBFCs Directions, 2016 issued by RBI. NBFCs that had not provided fraud disclosure as required were ranked the lowest.

Liability management: Diversified funding mix; debt equity ratio: total of debt securities, deposits, borrowings and subordinated liabilities as a percentage of total equity share capital and other equity as on March 31, 2023.

Capital adequacy and

liquidity coverage: Capital adequacy ratio: capital-to-risk weighted assets ratio for FY23;

Best Bank in Innovation

award: Banks had to describe their innovation initiatives across the five areas of customer experience, product innovation, business model, service delivery, and digital adoption. Every initiative was evaluated—based on area of impact, uniqueness of solution, adoption, and impact.

Best Bank in Fintech Initiative award: Banks were asked to describe collaborations with fintech companies.

Best Bank in Talent & Workforce award: Banks were evaluated across four critical focus areas under talent management and digitalisation; initiatives around diversity, equity, and inclusion; HR analytics, HR tech, automa-

tics, HR tech, automation and HR operating model; innovation in talent acquisition.

QUALITATIVE AWARDS

(Payments, lending and value added services segments)

Fintech companies were evaluated under three qualitative award categories: Best in Payments, Best in Value Added Services, and Best in Fintech Lending. The key parameters considered were company health (years of operation, etc); business maturity (equity raised, etc); business volumes; differentiation (business models, etc); and, adoption levels across different customer segments and geographies, along with current industrial partnerships. **BT**